

EQUITY RESEARCH · COMPANY DEEP DIVE

Applied Materials, Inc. (AMAT.US)

OVERWEIGHT

Composite · Valuation: OVERWEIGHT
Blended Target: \$694.17
Implied upside: +10.7%

Technology · Semiconductor Equipment & Materials

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$626.84

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$694.17 (+10.7% vs \$626.84); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: OVERWEIGHT (score +0.42, confluence 100%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation + technical aligned bullish; solid financial statement profile.

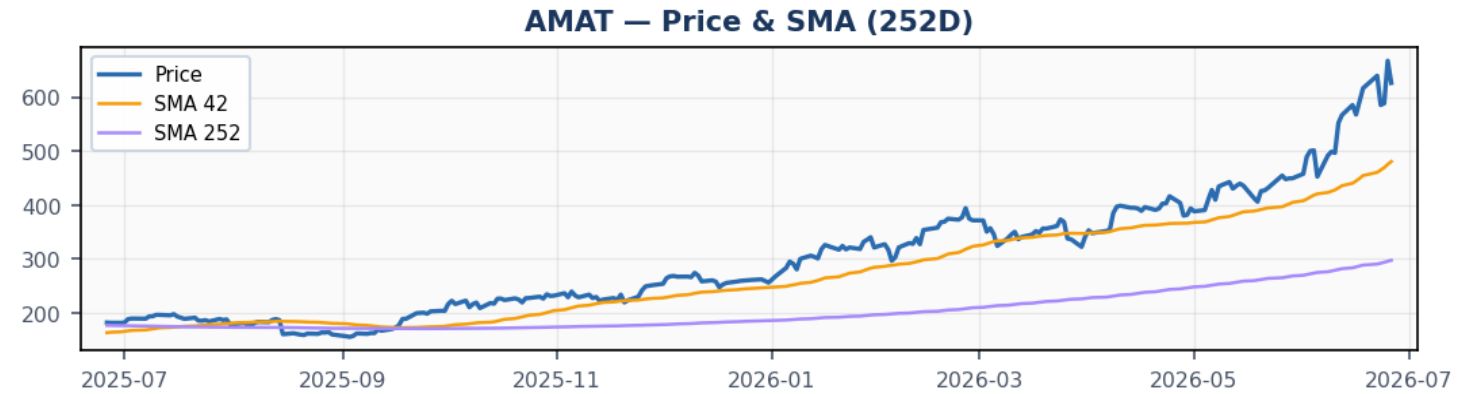
INVESTMENT THESIS / EXECUTIVE SUMMARY

Applied Materials, Inc. (AMAT) — Technology. Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the... **OVERWEIGHT** rating; blended target \$694.17. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$497.69B	Shares Out.	794.0M
52-Week Range	\$154.47 – \$669.22	P/E (TTM)	58.8x
P/B	20.8x	Beta	1.67
Avg Volume	8.26M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$29.02B	Rev Growth	+11.4%
Op. Margin	31.9%	FCF (TTM)	\$5.70B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	27,176	28,368	31,602	34,361	36,718
Revenue Growth (%)	N/A	4.4%	11.4%	8.7%	6.9%
Net Income (\$M)	7,177	6,998	7,796	8,476	9,058
Net Income Growth (%)	N/A	-2.5%	11.4%	8.7%	6.9%
Gross Margin (%)	47.5%	48.7%	49.0%	49.0%	49.0%
Net Margin (%)	26.4%	24.7%	24.7%	24.7%	24.7%
ROE (%)	37.8%	34.3%	38.2%	37.7%	38.3%
EPS (\$)	9.04	8.81	9.82	10.68	11.41
Book Value / Share (\$)	23.93	25.71	25.71	28.35	29.77
P/E (x)	69.34	71.12	63.84	58.71	54.94
P/B (x)	26.19	24.38	24.38	22.11	21.06
Dividend Yield (%)	34.0%	34.0%	34.0%	34.0%	34.0%

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.45). Strengths: Current ratio 2.61x; Conservative balance sheet; Strong ROE 39.7%. 3Y projection: ~7.3% revenue growth; Y3 revenue \$35.87B.

Metric	Value	Assessment
FSA Health Score	+0.45	Strong
Revenue CAGR (3Y)	3.2%	
Net Income CAGR (3Y)	2.4%	
Gross Margin Trend	Stable	
Operating Margin Trend	Stable	
Current Ratio	2.61x	Liquidity
Debt / Equity	30%	Leverage
ROE	39.7%	Profitability
FCF / Net Income	0.81x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$31.15B / \$35.87B	@7.3%
Proj. Net Income (Y1 / Y3)	\$7.85B / \$9.04B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$480.94	Short-term trend
SMA (252d)	\$297.73	Long-term trend
RSI (14d)	71.5	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 72 — overbought zone

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+244.1%	
3m Momentum	+86.1%	
Ann. Volatility	44.9%	
Sharpe Ratio	0.71	Rf=4%
Max Drawdown	-55.1%	
Rel. Strength vs SPY	+281.3%	
Quant Score	+0.50	POSITIVE
SMA Backtest (ann.)	51.2%	B&H; 60.9%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$117.08	-81.3%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$814.12	+29.9%	—	Peer median P/E 76.4x
Comps — P/E (peer median, forward EPS)	\$1244.59	+98.6%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$483.51	-22.9%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$719.26	+14.7%	—	Peer median 57.2x
Comps — P/S (peer median)	\$729.74	+16.4%	—	Peer median P/S 20.0x
Comps — Blended (median of multiples + uplift anchors)	\$729.74	+16.4%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$551.91	-12.0%	20%	Included in blend
Blended target (weighted)	\$694.17	+10.7%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.20%
Terminal g	4.00%
FCFE growth	11.61%
Base FCFE	\$5.70B
PV explicit (5Y)	\$29.06B
PV terminal	\$63.90B
Equity value (adj.)	\$92.96B
Implied price	\$117.08
vs. current	-81.3%

INDUSTRY ANALYSIS

1. Industry Overview

Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the United States, China, Korea, Taiwan, Japan, Southeast Asia, Europe, and internationally. The company operates through Semiconductor Systems and Applied Global Services (AGS) segments. The Semiconductor Systems segment includes semiconductor...

2. Key Trends

- Moderate revenue expansion (11.4% YoY)
- High operating leverage (31.9% margin)
- Above-market volatility (β=1.67)
- Sector: Technology | Industry: Semiconductor Equipment & Materials

3. Risk Factors

- Premium valuation (P/E: 58.8x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
LRCX	Lam Research Corporati	\$474.08B	71.4x	60.3x	30.9%	+23.8%
KLAC	KLA Corporation	\$324.79B	70.4x	55.7x	35.7%	+11.5%
TER	Teradyne, Inc.	\$68.39B	81.4x	58.7x	22.6%	+87.0%
ENTG	Entegris, Inc.	\$24.59B	93.3x	31.7x	8.2%	+5.0%
AMAT*	Applied Materials, Inc	\$497.69B	58.8x	53.6x	29.3%	+11.4%

* Subject company. Trades at a discount on p/e vs peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.